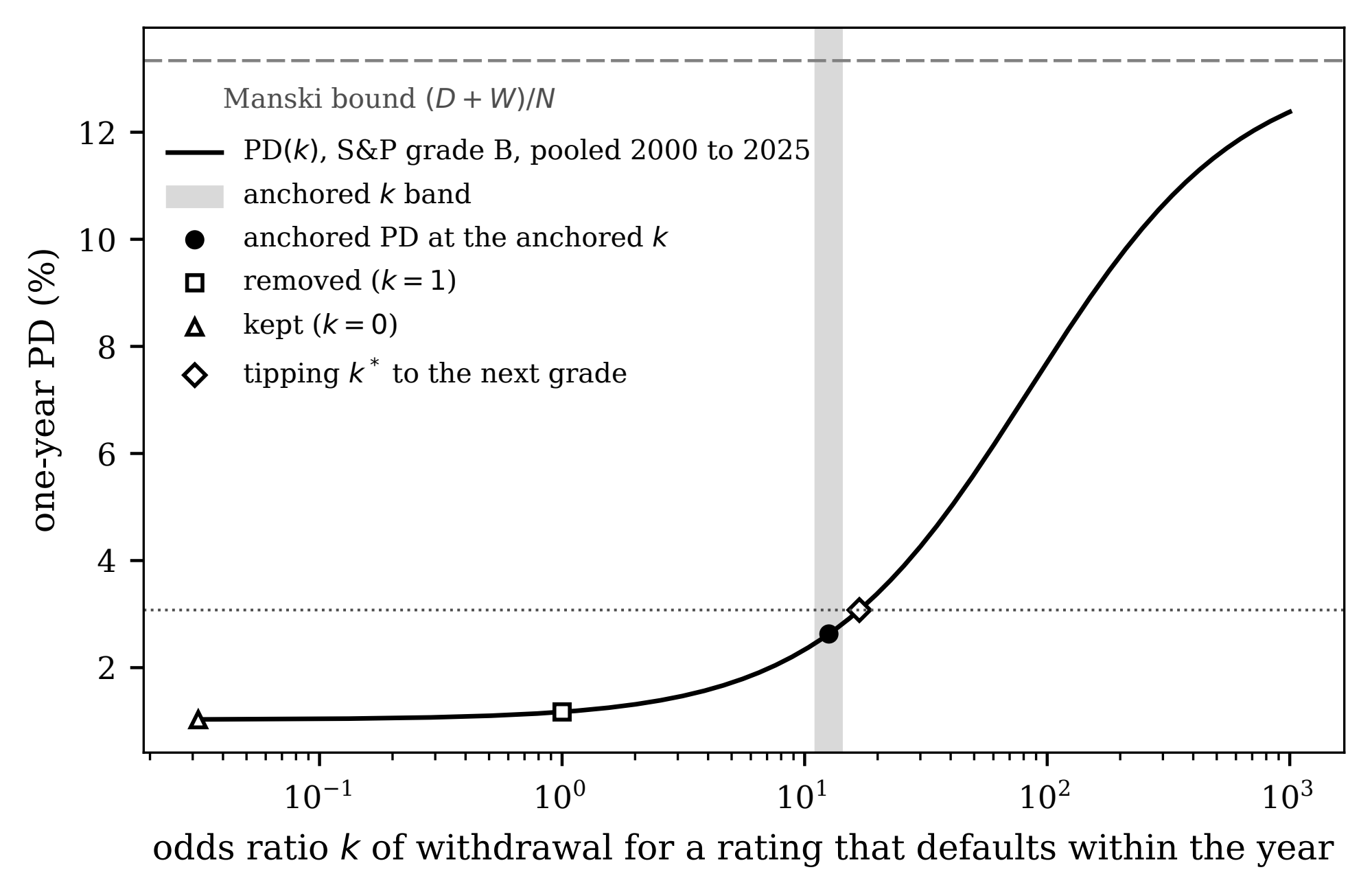
Manski bound $(D + W)/N$
PD(k), S&P grade B, pooled 2000 to 2025
anchored k band
anchored PD at the anchored k
removed ($k = 1$)
kept ($k = 0$)
tipping k^* to the next grade
one-year PD (%)
2
4
6
8
10
12
10^{-1}
10^{0}
10^{1}
10^{2}
10^{3}
odds ratio k of withdrawal for a rating that defaults within the year